

News Letter

February Recap

FINANCE FORWARD: WHERE FINANCE MEETS INNOVATION



US–India Interim Trade Agreement

An Interim Reciprocal Trade Agreement between the United States and India is essentially a “warm-up round” in trade diplomacy. Both sides agree to reduce tariffs on selected goods while negotiating a broader Free Trade Agreement in the background.

For India, this could open wider doors for exports like textiles and pharmaceuticals in the U.S. market. For the U.S., lower Indian tariffs on agricultural, industrial, and tech products could give its exporters a competitive edge. It’s a classic give-and-take, market access meets strategic compromise.

Key Takeaway: Even a temporary tariff truce can strengthen trade momentum, boost business confidence, and pave the runway for a bigger, long-term deal.



India-EU FTA: "The Mother of All Deals"

The proposed Free Trade Agreement between India and the European Union could redraw the trade map between two economic heavyweights representing over 1.8 billion people. By cutting tariffs and easing barriers, the deal aims to let goods, services, and investments move with fewer speed bumps.

Negotiations center on market access, the EU seeks lower Indian tariffs on cars and wines, while India wants smoother entry for textiles, pharmaceuticals, and IT services. Investment protection and sustainability standards are also on the table, making this more than just a tariff conversation.

If finalized, the agreement could turbocharge exports, attract fresh capital, and deepen supply chain linkages. It's not just a trade pact, it's strategic choreography on the global stage.

Key Takeaway: A successful India-EU FTA could unlock trade momentum, strengthen investor confidence, and anchor long-term economic partnerships.



The "Mother of All Deals".

RBI Keeps Rates on Hold

The Reserve Bank of India has hit the pause button, keeping the repo rate unchanged and maintaining a neutral stance. Translation? No rate hike, no rate cut, just a steady cruise in policy mode.

Inflation has cooled but isn't completely tamed, especially with food prices and global uncertainties hovering in the background. Meanwhile, growth remains stable and past rate hikes are still doing their slow, behind-the-scenes work.

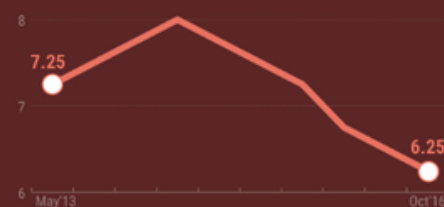
For borrowers and businesses, this means no EMI surprises and a little breathing room for planning. In central banking terms, this isn't laziness, it's a calculated chill.

Key Takeaway: When inflation is behaving (mostly) and growth is steady, sometimes the smartest move is to hold the line and keep the economy on autopilot.

ON HOLD FOR NOW

How the repo rate moved in recent years.

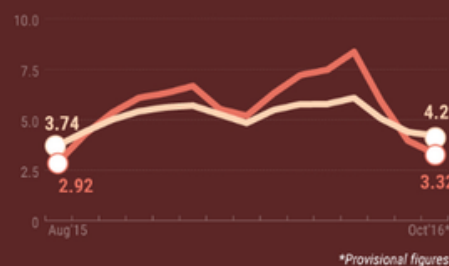
REPO RATE MOVEMENT (%)



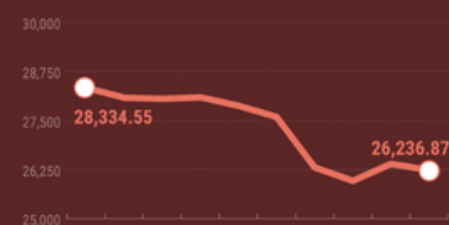
COOLING OFF

Retail inflation has eased in recent months

— Consumer price inflation — Food Inflation (Figures in %)



SENSEX MOVEMENT SINCE LAST MONETARY POLICY IN OCTOBER

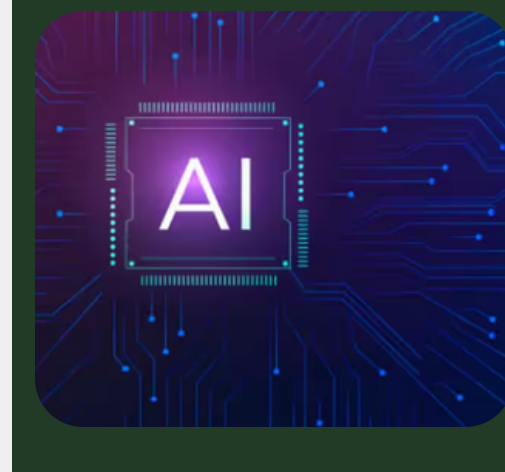


India AI Impact Summit 2026

New Delhi recently hosted the India AI Impact Summit 2026, attracting over \$200 billion in investment pledges and spotlighting the theme “AI for All.” Discussions centered on leveraging AI to boost agriculture, healthcare, financial inclusion, and education—key pillars for India’s development ambitions.

A highlight was the adoption of the New Delhi Declaration, endorsed by more than 90 countries, promoting equitable access and international cooperation. While the commitments are voluntary, the summit firmly positioned India as a rising influencer in global AI governance.

Key Takeaway: India’s AI moment is combining investment, innovation, and diplomacy to shape the future of artificial intelligence responsibly.



UPI Internationalization

The Unified Payments Interface (UPI) has reshaped how India pays, turning quick scans into instant bank-to-bank transfers. From street vendors to corporate bills, the “scan-and-pay” culture has become second nature.

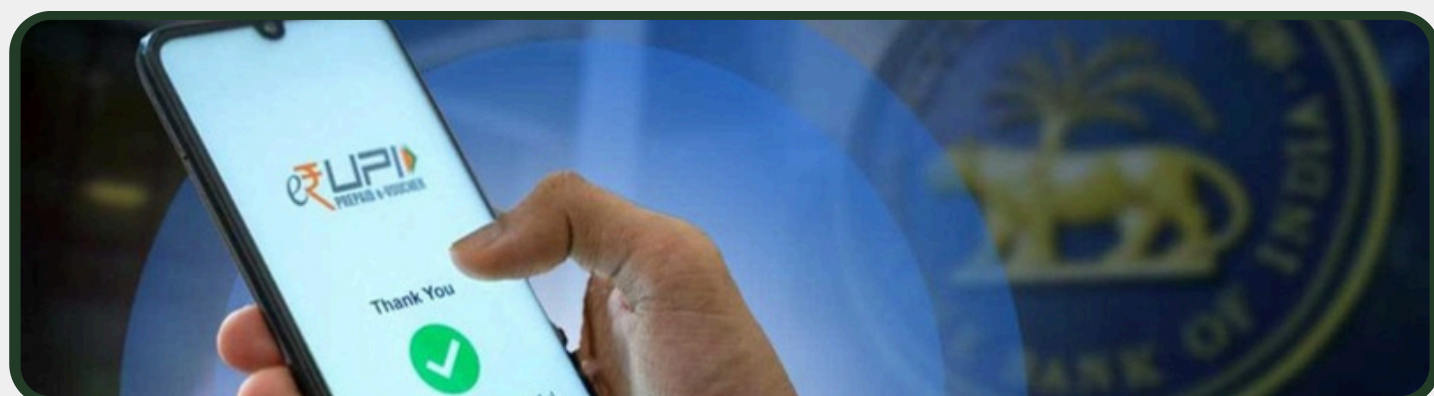
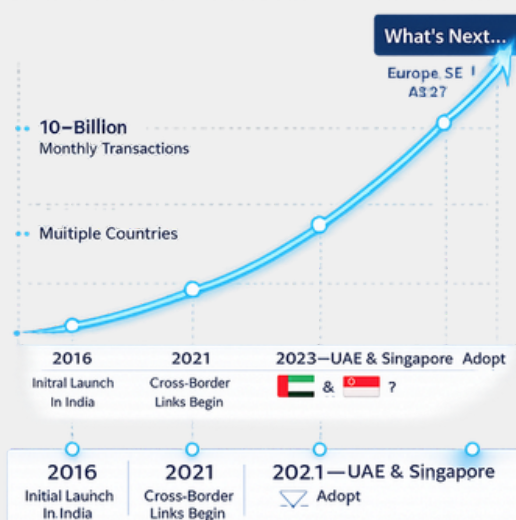
Budget 2026 signals the next leap: taking UPI global. International expansion would enable smoother cross-border payments directly from Indian bank accounts, reducing friction for travellers and businesses and making currency counters feel a little less essential.

Beyond convenience, this move strengthens India’s digital public infrastructure footprint and elevates its standing in the global fintech arena.

Key Takeaway: Globalizing UPI isn’t just about easier payments, it’s about exporting India’s digital innovation to the world stage.

UPI’s Global Expansion Trend

Cross Border Adoption of India’s Unified Payments Interface



ISM 2.0 (India Semiconductor Mission)



Finance

India Semiconductor Mission 2.0 is the Government of India's big bet on turning the country into a global semiconductor hub. With chips powering everything from smartphones and EVs to AI and space tech, recent supply shocks proved one thing clearly- no chips, no growth.

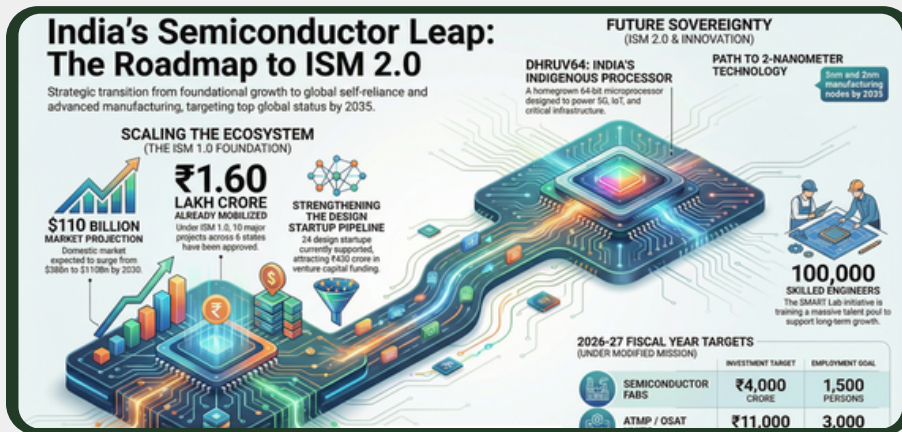
ISM 2.0 focuses on building fabrication plants (fabs), strengthening domestic chip design, expanding assembly and testing facilities, and attracting global tech partnerships. Backed by financial incentives and infrastructure support, the mission aims to reduce import dependence and plug India directly into global supply chains.

By 2030, the goal is clear: create high-tech jobs, attract large-scale investment, and shift India from chip consumer to chip contender. It's industrial strategy with silicon at its core.

Key Takeaway: ISM 2.0 isn't just about manufacturing chips, it's about securing economic resilience and claiming a stake in the future of global tech power

Strategic Significance

- Develop domestic fabrication (fab) capacity
- Expand assembly, testing & packaging units
- Support semiconductor design ecosystem
- Provide financial incentives to manufacturers
- Reduce import dependence
- Improve supply chain resilience



Greenland "Real Estate": Tanbreez Rare Earths

Tanbreez in Greenland isn't your usual neighborhood- it holds roughly 4.7 billion tonnes of rare earth-rich rock, including a hefty share of Heavy Rare Earth Elements. These minerals power everything from smartphones and EVs to renewable energy tech and defense systems.

The project has grabbed geopolitical attention as the U.S. and Europe look to diversify sources away from China, making Tanbreez a strategic hotspot. Impressively, developers say up to 97% of the mined material can be repurposed commercially, leaving almost no waste.

Key Takeaway: Tanbreez isn't just a mine, it's a high-tech treasure chest shaping global supply, innovation, and geopolitics.

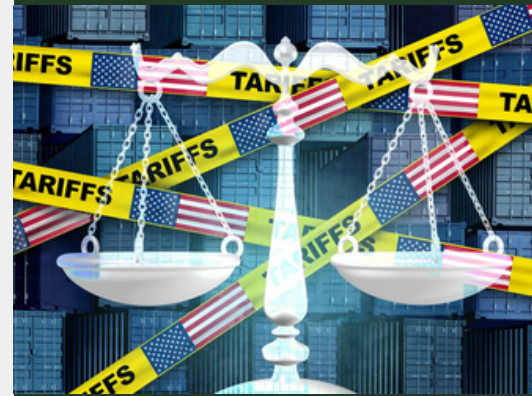


U.S. Supreme Court Ruling on Trump's Tariffs

The Supreme Court of the United States ruled 6–3 that tariffs imposed by Donald Trump without congressional approval were unconstitutional. The Court found that relying on the International Emergency Economic Powers Act (IEEPA) for sweeping tariffs overstepped presidential authority, as trade powers belong to Congress.

The ruling invalidates several tariffs from the 2025 “reciprocal” program, which could ease supply chain pressures. Yet tariffs under other laws remain, and the administration has already introduced a temporary 10% global tariff, showing that trade tensions are far from over.

Key Takeaway: The decision reasserts Congress’s role in trade policy while reminding markets that tariff drama isn’t going away anytime soon.



Budget 2026: SME Growth Fund



Small and Medium Enterprises (SMEs) may be called the backbone of India’s economy, but even backbones need support. They create jobs, power supply chains, and drive exports, yet many hit a growth ceiling when capital runs thin just as demand picks up.

Budget 2026 introduces a ₹10,000 crore SME Growth Fund to bridge this gap. The fund aims to provide liquidity and expansion capital, helping businesses scale operations, upgrade technology, and enter bigger markets without immediate repayment pressure slowing momentum.

The message is clear: SMEs aren’t meant to stay small. With timely funding, today’s local players can evolve into tomorrow’s industry leaders.

Key Takeaway: Smart capital at the right time can turn growth-ready SMEs into national growth engines, strengthening jobs and economic resilience.



Total Return Swaps (TRS) for Corporate Bonds

Total Return Swaps (TRS) let investors enjoy the returns of corporate bonds without actually owning them. In this arrangement, one party receives the bond's total return, interest plus price gains or losses, while paying a fixed or floating rate in exchange. Think of it as getting the bond's performance highlights without holding the certificate.

The bond typically stays on a bank's balance sheet, but the investor gains full economic exposure. It's finance's version of "own the upside, outsource the paperwork."

TRS are popular for capital efficiency, flexibility, and sharper risk management. They allow investors to enter or exit positions more easily, commit less upfront capital, and access bonds that may be harder to buy directly.

Key Takeaway: TRS are a clever financial workaround, capturing bond returns, boosting liquidity, and transferring risk without transferring ownership.



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